CSIS | KOREA DAILY BRIEF

Sunday, October 25, 2026 No. 214 10 min read

TODAY AT A GLANCE

1. Kim Jong Un returned to Pyongyang after a day-trip to Dandong, crossing the New Yalu River Bridge and meeting Wang Huning.
2. South Korea's Q2 current account surplus exceeded the combined surpluses of Germany and Japan, Lee said Sunday.
3. President Lee is vetting two prosecutor-turned-lawmakers to fill the vacant Justice Ministry post after his previous nominee withdrew.

KOSPI	USD/KRW	BRENT	LEE APPROVAL	KIM LAST SEEN	BOK RATE
5,550.30	1,325.40	$111.70	39%	Today	2.50%
+0.3%	−0.0%	−1.3%	+2 pts Oct 13-15	public appearance	Oct 2026

01 | TOP STORIES

NK News / Korea Times / Yonhap / Reuters / WSJ / AP / Oct 25, NK-Russia-China

Kim returns from Dandong after first China visit since September 2025, touts 'blood alliance'

Kim Jong Un crossed the New Yalu River Bridge on October 24 to visit Dandong, where he toured the Memorial Hall to the Chinese People's Volunteers and met **Wang Huning**, the fourth-highest-ranking Chinese official, and separately held talks with Chinese Foreign Minister **Wang Yi**, according to KCNA and Yonhap.

Kim said North Korea is 'inspired' by China's success and vowed to advance the relationship 'forged in blood,' framing the visit around the 76th anniversary of China's entry into the Korean War. The visit was a day-trip with no advance notice and no meeting with **Xi Jinping**, a departure from prior state-level summits; his delegation included party presidium member Jo Yong-won, Foreign Minister **Choe Son-hui**, and Kim Yo-jong.

Yonhap / Maeil Business, ROK Economy

Lee says South Korea's Q2 current account surplus surpassed Germany and Japan combined

President **Lee Jae-myung** posted Sunday that South Korea's second-quarter current account surplus exceeded the combined surpluses of Germany and Japan, describing the result as 'a great wave of opportunity' driven by semiconductor exports.

Lee said South Korea is now a leading economy rather than a follower of advanced nations, and called for the surplus to translate into jobs and income gains. Maeil Business separately reported that South Korea's current account surplus reached second place globally, while September exports hit a record *$121.1 billion*, led by semiconductors.

Korea Times / Chosun Ilbo, ROK Politics

Lee narrows Justice Ministry shortlist to two prosecutor-turned-ruling-party lawmakers

A presidential office source told Yonhap that President **Lee Jae-myung** is reviewing Democratic Party lawmakers **Park Kyoon-taek** and **Yang Bu-nam** as candidates to lead the Ministry of Justice, with a formal nomination expected soon.

Lee's previous nominee, Rep. **Kim Seung-won**, withdrew last month after lobbying allegations arose during his parliamentary confirmation hearing. Opposition People Power Party figures, including **Na Kyung-won**, accused Lee of seeking a justice minister who would move to drop charges against him.

02 | OVERNIGHT

FT, NK-Russia-China

FT: Beijing concerned Pyongyang-Moscow axis is deepening as Kim visits Dandong

Analysts cited.

Newsis, ROK Politics

Weekly president-PM lunch meeting shifted from Monday to Tuesday, effective this week

Presidential chief of staff **Im Gwang-hyeon** proposed moving the weekly luncheon to coincide with the Tuesday cabinet session; **Lee Jae-myung** approved.

Korea Economic Daily (Korea Economic Daily), ROK Economy

Presidential office leans toward two-year cryptocurrency tax deferral

Ruling party-government deliberations ongoing.

Korea Herald (via UA.NEWS), DPRK

Abductions and detentions of South Korean citizens overseas rose to 553

New Korea Herald count.

Bangladesh Sangbad Sangstha, NK-Russia-China

International wire coverage consolidates: Kim's Dandong trip 'unannounced,' no Xi meeting

Day-trip format with no advance notice.

Seoul Economic Daily TV (Seoul Economic DailyTV), ROK Politics

DAPA reviews revoking LIG D&A's defense contractor designation over bribery allegations

Drone procurement future uncertain.

03 | STAT OF THE DAY

$121.1B

South Korea September 2026 exports, record high

Semiconductor-led exports hit a historic monthly peak, with domestic demand expansion cited as the next variable to watch.

Korean Public Policy News (), Oct 25

04 | PYONGYANG WATCH

Kim Jong Un

Public appearance: Kim Jong Un returned to Pyongyang from Dandong, China, after crossing the New Yalu River Bridge on October 24, confirmed by KCNA state media reported October 25.

No KCNA watch flag. 5 provocations logged in the last 7 days.

> *"North Korea is 'inspired' by China's success."*
>
> **Kim Jong Un**, Kim Jong Un says North Korea 'inspired' by China's success in border city visit

TOP KCNA ARTICLES

NK News, Kim Jong Un

Kim Jong Un rallies junior commanders to build 'world's strongest' army

KCNA reported Kim chaired the Third Meeting of Company Leaders of the Korean People's Army in Pyongyang on October 22-23 and called for a 'military revolution' and the training of the world's strongest military units.

KCNA Watch, DPRK state media

KCNA: Rice harvesting mainly completed in DPRK

KCNA reported that rice harvesting has been largely completed across North Korea, a routine agricultural season update that provides a baseline on food production conditions.

SENIOR OFFICIALS

Choe Son-hui, Foreign Minister, DPRK

Accompanied Kim Jong Un to Dandong and met separately with Chinese Foreign Minister Wang Yi, per KCNA.

Kim Yo-jong, Department Director, Workers' Party of Korea

Accompanied Kim Jong Un's delegation to Dandong, per KCNA.

Jo Yong-won, Member, Workers' Party Presidium

Accompanied Kim Jong Un to Dandong as a senior party delegate, per KCNA.

> **Bottom line:** KCNA led with extensive coverage of Kim's Dandong visit, framing the 'blood alliance' with China around the 76th Korean War anniversary, while also reporting Kim's 'military revolution' address to company-level commanders, two tracks run simultaneously.

05 | ROK GOVERNMENT

President and ministries, Sunday, October 25, 2026

MINISTRY OF TRADE, INDUSTRY AND ENERGY

Minister of Trade, Industry and Energy

MOTIE wins Korea PR Grand Prize for Middle East crisis communications

The Ministry of Trade, Industry and Energy received the 'Grand Prize' in the issue and crisis management communications category of the Korea PR Grand Prize for its public communications during the Middle East war energy crisis, including introduction of petroleum maximum price controls and supply diversification measures.

Minister, Trade/Industry (MOTIR) on X

PERSONNEL CHANGES

Park Kyoon-taek or Yang Bu-nam (under review) NOMINATED

Minister of Justice

President Lee Jae-myung is vetting Democratic Party lawmakers Park Kyoon-taek and Yang Bu-nam for the Justice Ministry after the previous nominee Kim Seung-won withdrew last month over lobbying allegations. A formal nomination is expected soon.

Replaces: Kim Seung-won (withdrew)

NATIONAL ASSEMBLY

National audit enters final week with Chief Justice and Kim Hyeon-ji as live disputes

National Audit

YTN reported the 2026 national audit is scheduled to conclude this week, with the probe into Chief Justice Cho Hui-dae and an associate (Kim Hyeon-ji) remaining the sharpest political fault lines heading into the final sessions.

PPP lawmaker alleges 41 polling stations showed mismatched tallies in 22nd general election

People Power Party

PPP lawmaker **Ju Jin-woo** stated that handwritten tally sheets from 41 polling stations in the 22nd general election showed results different from the National Election Commission's electronic records, calling for an investigation.

06 | US-KOREA TRADE & INVESTMENT

TARIFF STATUS

Autos and parts Section 232	**15%** Reduced
Steel and aluminum Section 232	**50%** Active
Reciprocal tariff 10% surcharge (Section 122), expired Jul 24 2026	**Expired**
Section 301 USTR, Section 301 determination, pending, no fixed date	**Active**

6 more sector rates on the trade reference page; no rate changed since the last issue.

Steel and aluminum remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, leaving no baseline reciprocal tariff. Section 301 investigations launched March 11 are now the primary prospective tariff vehicle.

INVESTMENT PLEDGE, $350B

$350B pledged; 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B).

$150B shipbuilding, $200B strategic sectors, $100B energy purchases; no official drawdown figure reported to date.

07 | CAPITOL HILL

The Hill, Statement

The Hill covers Kim Jong Un's Dandong visit and New Yalu River Bridge inauguration

The Hill reported Kim Jong Un's October 24 visit to the Chinese border city of Dandong to inaugurate the New Yalu River Bridge, noting the trip's significance for North Korea-China trade ties and regional diplomacy.

08 | NORTHEAST ASIA WATCH

Korea Times, China-Korea

Kim's Dandong visit carried no Xi meeting and no advance notice, departure from prior state summits

Kim Jong Un's October 24 Dandong visit involved no meeting with **Xi Jinping** and no advance diplomatic notice, both departures from his previous China visits, which were state-level summits. The Korea Times notes Kim's delegation was headed by party figures **Jo Yong-won**, **Choe Son-hui**, and **Kim Yo-jong**, and that the visit was framed around the Korean War anniversary rather than a bilateral summit agenda.

SBS International, China-Korea

Foreign media assess Kim's Dandong trip as new cold-war diplomacy or pre-US-North Korea talks coordination

Reuters, AP, and the Financial Times each reported on Kim's visit, with analysts cited across outlets suggesting the Dandong trip may reflect 'new cold-war diplomatic posture' or a pre-coordination move ahead of possible US-North Korea dialogue, though no US-North Korea talks are scheduled.

09 KOREA AND THE WORLD

Korea Times, Central Asia, Diplomacy

Uzbekistan ambassador cites $8 billion in Korean investment at Seoul independence day reception

Uzbekistan's Ambassador to Korea **Alisher Abdusalomov** said Korean investment in Uzbekistan has surpassed approximately 11 trillion won (*$8 billion*), with more than 700 Korean companies operating there, at a reception marking the country's 35th independence day and the 34th anniversary of bilateral diplomatic relations.

UPI, Middle East, Diplomacy

UPI analysis examines strategic coherence between North Korea-Iran relationships

A UPI analysis asks whether the United States and its allies have a coherent strategic policy that accounts for the interplay between North Korea and Iran, both of which face US-led sanctions regimes and have been linked to weapons-transfer discussions.

10 BUSINESS & ECONOMY

Korean Public Policy News ()

South Korea's September exports hit record $121.1 billion, led by semiconductors

September 2026 exports reached *$121.1 billion*, a record monthly high, with semiconductors the primary driver; analysts cite domestic demand recovery as the next variable for sustaining the trend.

SBS Economy

Seoul apartment prices rose 0.61% in October, slowest pace of the year

KB Real Estate data released October 25 show Seoul apartment prices up *0.61%* in October, the lowest monthly increase of 2026, as the government's tightening measures temper gains.

Maeil Business TV (Maeil BusinessTV)

Five major Korean banks' household loans rise 2.6 trillion won in October

Household loans at South Korea's five largest banks grew by *2.6 trillion won* in October, sustaining the upward trend that the Bank of Korea has flagged as a financial stability risk.

Jaegyeong Ilbo ()

DAPA moves to sanction LIG D&A for bribery, block sole-source contracting and recoup profits

South Korea's Defense Acquisition Program Administration (DAPA) is reviewing revoking LIG D&A's designation as a defense contractor following a bribery investigation, which would block the firm from new drone procurement contracts.

LIG D&A

11 UPCOMING

OCT 27

NK-Russia anniversary: Choe Son-hui-Putin meeting, 1 year ago

One year ago on October 27 2025, North Korean Foreign Minister Choe Son-hui met President Vladimir Putin in Moscow; Choe is currently active as part of Kim's China delegation.

OCT 27

National audit concludes this week per YTN

The 2026 National Assembly national audit is scheduled to conclude this week, with Chief Justice Cho Hui-dae and Kim Hyeon-ji the remaining live disputes.

NOV 1

Justice Ministry nomination expected imminently

A presidential office source told Yonhap a formal Justice Minister nomination from the Park Kyoon-taek / Yang Bu-nam shortlist is 'expected to be made soon' after verification is complete.

12 | ANALYSIS

OFFICIALS ON X

US Forces Korea (@USForcesKorea), October 25

"United Nations Command (UNC) Deputy Commander Lieutenant General Scott Winter met with Lieutenant General Ingrid Gjerde, Chief of Defence Norway, during a visit to Oslo."

The UNC deputy commander's Oslo visit takes place as UNC member-state engagement continues amid elevated inter-Korean tensions at the demilitarized zone. **View on X**

US Forces Korea / 2nd Infantry Division (@USForcesKorea), October 25

"The Defense POW/MIA Accounting Agency (DPAA) has officially accounted for US Army Pvt. Joseph E., a sacred promise kept."

DPAA accountings of Korean War missing US servicemembers are a standing bilateral commitment under the US-DPRK 2018 Singapore agreement framework, though repatriation talks with North Korea remain suspended. **View on X**

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

COMMENTARY

Behind Canada's Submarine Procurement: What's Next for South Korea-Canada Defence Cooperation?. The International Institute for Strategic Studies (IISS) examines how Canada's submarine program could draw in South Korean shipbuilding and defense expertise. The piece maps the current state of bilateral defense-industrial ties and the barriers to deeper cooperation. It is relevant as South Korea pursues defense export diversification beyond its established European and Middle Eastern markets. (The International Institute for Strategic Studies)

13 | PUBLIC SENTIMENT

Lee approval

39%

+2 pts vs Oct 6-8
Gallup Korea
October 13-15, 2026

Trend: Down from 42% on Aug 25-27, across 6 readings.

Ruling	Opposition	Independents
Democratic	People Power	
36%	27%	29%

Gallup Korea publishes weekly; this reading is 1 week old (October 13-15, 2026).

14 | THE WIRE

DPRK

Yonhap News Agency

North Korean troops stage artillery drills at coastal border areas

North Korean forces conducted artillery drills at coastal border areas, Yonhap reported, as tensions along the military demarcation line remain elevated following the October DMZ mine blasts and loudspeaker warnings.

Yonhap

South-North verbal clash intensifies at United Nations over nuclear arms and mine blasts

North Korea's UN mission asked at the United Nations whether South Korea was developing its own nuclear weapons, escalating the two sides' rhetorical exchange at the UN over the DMZ mine blasts and inter-Korean military tensions.

Kukienews

ROK military and United Nations Command investigate DMZ mine blast site, find one North Korean mine

ROK military and United Nations Command (UNC) investigators examining the 25th Infantry Division's demilitarized zone mine explosion site recovered one North Korean-origin mine, Kukienews reported, citing military sources.

ROK ECONOMY

Yonhap (Infomax)

Deputy PM Lee Hyeong-il convenes economic policy roundtable on domestic production tax credit reform

Deputy Prime Minister and Finance Minister **Lee Hyeong-il** held an economic issues consultation meeting on October 25 to discuss supplementary measures for the domestic production tax credit and three key social policy agendas, Yonhap reported.

US-KOREA

KIDA (Korea Institute for Defense Analyses)

KIDA paper outlines measures to strengthen South Korea's three-axis deterrence system

A Korea Institute for Defense Analyses report examines structural reinforcements for South Korea's three-axis system, Kill Chain, Korea Air and Missile Defense, and Korea Massive Punishment and Retaliation, amid escalating North Korean threats.

15 | SATELLITE & LOCATION WATCH

Elevated or alert, 2 of 11 sites: Yongbyon Nuclear Complex; Sohae Satellite Launch Station.

No new reporting on any of the 11 monitored sites since the last issue.

That's today's brief. No. 214

Feedback and tips are welcome. Write to **alim@csis.org**.

CSIS | GEOPOLITICS AND FOREIGN POLICY DEPARTMENT | KOREA CHAIR

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

You are receiving the Korea Daily Brief as a member of the CSIS Korea Chair distribution list.

© 2026 Center for Strategic and International Studies No. 214 generated 7:12 AM ET